Vodafone Group Plc: Credit Note

16 October 2026

View

Vodafone (BBB at all three agencies) is a hold: we expect a stable rating and spreads in line with BBB telecom peers. Buying out CK Hutchison's 49% of VodafoneThree pushed pro forma net debt to EBITDAaL to about 2.7x on FY26 earnings. Consolidating Safaricom (about €0.9bn of net debt) and the raised FY27 guidance bring that back to about 2.4x. That is inside the 2.25x to 2.75x policy range but above the lower half the company targets, so there is little room for more debt-funded buybacks or M&A.

Capital structure

Gross debt was €38.6bn at 31 March 2026: bonds of €33.8bn, bank loans of €1.4bn and spectrum and other borrowings of €3.4bn. Cash and short-term investments of €12.4bn leave net debt at €25.4bn on Vodafone's definition, which counts half of €7.6bn of hybrid bonds as debt. Leases add €12.4bn, and total funding obligations were €35.2bn, or 2.3x EBITDAaL before leases (FY25: 2.1x).

All bonds are fixed rate with an average life of 13 years, and €7.6bn of undrawn revolving facilities (maturing 2028 and 2031) back the commercial paper programmes. Some debt sits below the parent: VodafoneThree had net debt of £5.1bn at 31 March 2026.

Leverage and coverage trends

Leverage rose in FY26 and steps up again after the UK buyout, while interest cover held steady.

Metric	FY25	FY26	Pro forma: buyout, FY26 EBITDAaL	Pro forma: FY27E, all deals
Net debt (€bn)	22.4	25.4	30.3	32.5
Net debt / Adj. EBITDAaL	2.05x	2.24x	2.67x	2.40x
EBITDAaL / underlying net financing costs	7.0x	7.1x	n/a	n/a
EBITDAaL / net cash interest	9.5x	10.1x	n/a	n/a
Adj. FCF / net debt	11.4%	10.3%	n/a	n/a
FCF after dividends and buybacks (€bn)	(1.8)	(1.3)	n/a	n/a

Underlying financing costs add back €771m of bond buyback gains (FY25: €253m), which cut the reported adjusted figure to €819m. Shareholder returns of €3.1bn exceeded FY26 free cash flow of €1.8bn. The last column adds the €1.36bn paid for the 15% Safaricom stake and Safaricom's own net debt (KES 139.8bn, about €0.9bn, which may include leases). It leaves out the €1.0bn of VodafoneZiggo sale proceeds until they arrive; counting them would give about 2.33x.

Spread and rating view

We see the rating staying at BBB with no upgrade in sight: Fitch moved its outlook to stable from positive in November 2025. Downgrade risk is low while leverage stays under 2.75x, which leaves about €4.7bn of net debt capacity, or a 13% EBITDAaL fall, on the FY27E pro forma including Safaricom. I did not verify the agencies' own downgrade thresholds.

On spreads we are market weight versus BBB telecoms. Vodafone's own euro bonds trade at about 89bp over Bunds at four years, 101bp at eight, 123bp at eleven and 118bp at twelve and a half, which interpolates to about 115bp at ten years. Deutsche Telekom, Orange, Telefonica and BT, adjusted to ten years with Vodafone's own curve slope, average

about 119bp, so Vodafone sits roughly 4bp inside peers (Boerse Stuttgart, 15 and 16 October; the Vodafone 2034 and BT quotes date from 30 September). Support comes from €12.4bn of liquidity, a 13-year average bond life, FY27 EBITDAaL guidance raised to €13.0bn to €13.3bn and German service revenue back in growth (+1.3% in Q4). Tightening is capped by leverage drifting above the company's own lower-half target, a new 16% shareholder with a record of pushing change, and a rate backdrop in which the 10-year Bund hit about 3.6% on 1 October, a 17-year high, and was near 3.4% on 15 October. Quotes are indicative and the spreads are measured against Bunds, not swaps, so a trading view would need Bloomberg.

Key risks

- **Germany:** 37% of EBITDAaL, which fell 3.2% in FY26; mobile competition and the end of bulk TV contracts still weigh.
- **UK integration:** £700m of annual cost and capex synergies are targeted by FY30; restructuring and integration costs peak at about €0.7bn in FY27 and dent free cash flow.
- **Ownership and capital allocation:** Vega, the Niel family vehicle, agreed in July 2026 to buy e&'s 16.2%. Vega says it is unleveraged and not seeking control, but it could press for returns or deals. Sources differ on whether the purchase has closed.
- **Emerging markets:** Africa is 25% of EBITDAaL, Türkiye is reported under hyperinflation accounting, and Safaricom adds Kenya and Ethiopia currency exposure.
- **Higher rates:** new money costs more than the c.3% cost-of-debt ambition. On the own-curve build a new 10-year would yield about 4.53% with a 4.5% coupon, and refinancing the 2026 and 2027 maturities at that level adds about €38m of annual interest. A 15-year euro bond in February 2026 priced to yield 4.26% with the 10-year Bund at 2.70%; the Bund is now about 68bp higher.

Sources

Figures are for the year to 31 March 2026 unless stated; ratios and the illustrative new issue pricing are calculated in the accompanying workbook (Vodafone_Credit_DCM_Model.xlsx).

- Vodafone FY26 preliminary results, 12 May 2026 (data.fca.org.uk)
- FY26 results presentation, funding and ratings (reports.investors.vodafone.com)
- Vodafone and peer bond quotes, Boerse Stuttgart, 15-16 October 2026
- Q1 FY27 trading update, 27 July 2026
- VodafoneThree buyout completion, advanced-television.com, 3 Aug 2026
- Niel stake announcement, AFP, 10 July 2026
- Bund yields, Trading Economics
- Vodafone 4.125% 2041 new issue, Cbonds
- Fitch outlook change, secondary source (ts2.tech)